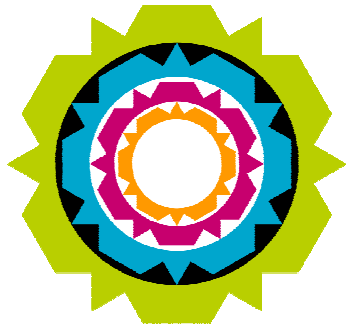






**CITY OF CAPE TOWN
ISIXEKO SASEKAPA
STAD KAAPSTAD**

**Rates Clearance Automation Process (RCAP)
for the
end to end registration of properties**

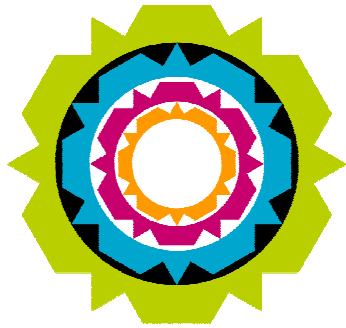
Making progress possible. Together.

Introduction

Items for discussion:

1. Importance of the Property Value Chain (PVC)
2. Issuing of Rates Clearance certificates (RCC) volumes/turnaround times) vs Quality end to end rates clearance process (from application for RCC to the refund process)
3. Rates Clearance Automation Process
4. Automated Move-in/Move-out Process
- 5 .Automated Refunds Process





CITY OF CAPE TOWN
ISIXEKO SASEKAPA
STAD KAAPSTAD

Rates Clearance Automation Process (RCAP)

Making progress possible. **Together.**

S118 Process Before RCAP Implementation

- Manual process
- Logistical issues with delivering and collecting of applications
- Resource Intensive
- Documentation – Hard copies
- Human Intervention
- Errors
- Manually managed and controlled
- Manual processing of applications time consuming
- Delays in processing applications
- Communication ineffective and causing delays
- Turnaround times (workdays) very high
- Applications lost – Accusations as to who to blame
- Incorrect/incomplete seller and buyer details resulting in sellers still receiving invoices up to 6 months after registration and buyers not receiving invoices.
- Increased queries from conveyancers, sellers and buyers.
- Dependency on external and internal role players
- Functionality outside of departmental control impacting on service delivery and City's reputation.



S118 Process After RCAP Implementation and the benefits

- Automated end to end property registration process.
- End to end S118 process can be applied for and managed **online by the conveyancers from their offices 24/7.**
- Automation improving the efficiency and reliability
- Improved service delivery and turnaround times
- Applications submitted electronically. No long paper driven/manual interventions required. Reduced human intervention. Reduced errors
- **Payment schedules issued same day**, some within minutes, against 3 to 5 working days in manual system.
- **Automated verification of payments and mandatory transfer documents**
- Optimised and **automated rates clearance back-office engine with workflows.**
- Issuing of the majority of S118 certificates **within 5 to 10 days against the old system of 14 days and more.**
- New case types with added validation & richer functionality
- Introduction of workflow and notification functionalities
 - Notifications to Attorneys
 - Integration of workflows for service departments and back end users

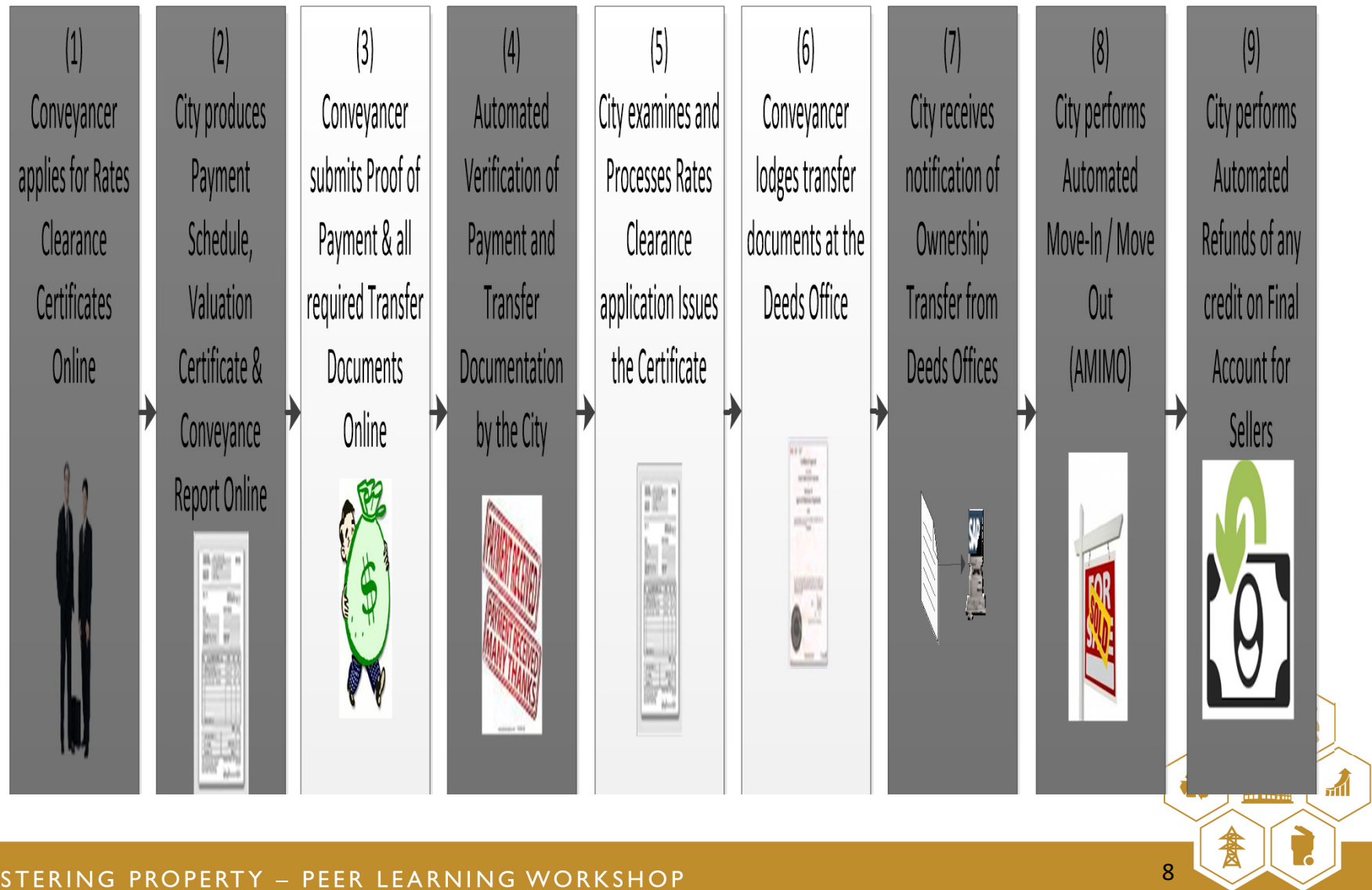


S118 Process After RCAP Implementation and the benefits

- Automated billing of conveyancers (**one payment for all applications instead of single payments per application**)
- Improved revenue collections
- Automation of the integration of sub-processes (e.g. **create/maintain business partners, Section 118(3) , undertakings, extensions and corrections of RCCs.**
- **All debts on the property are collected**
- **All Conditions on properties have been lifted** (compliance)
- Ensured that the Seller and Buyer/s business partner details are correct. It is **mandatory for Conveyancers to provide all details as well as the postal and forwarding address of the buyer and seller**
- Ensured that the **correct devices (meters) are correctly linked to the correct property owner, new account for buyer generated and a finalised account for seller effected** and billed accordingly (AMIMO)

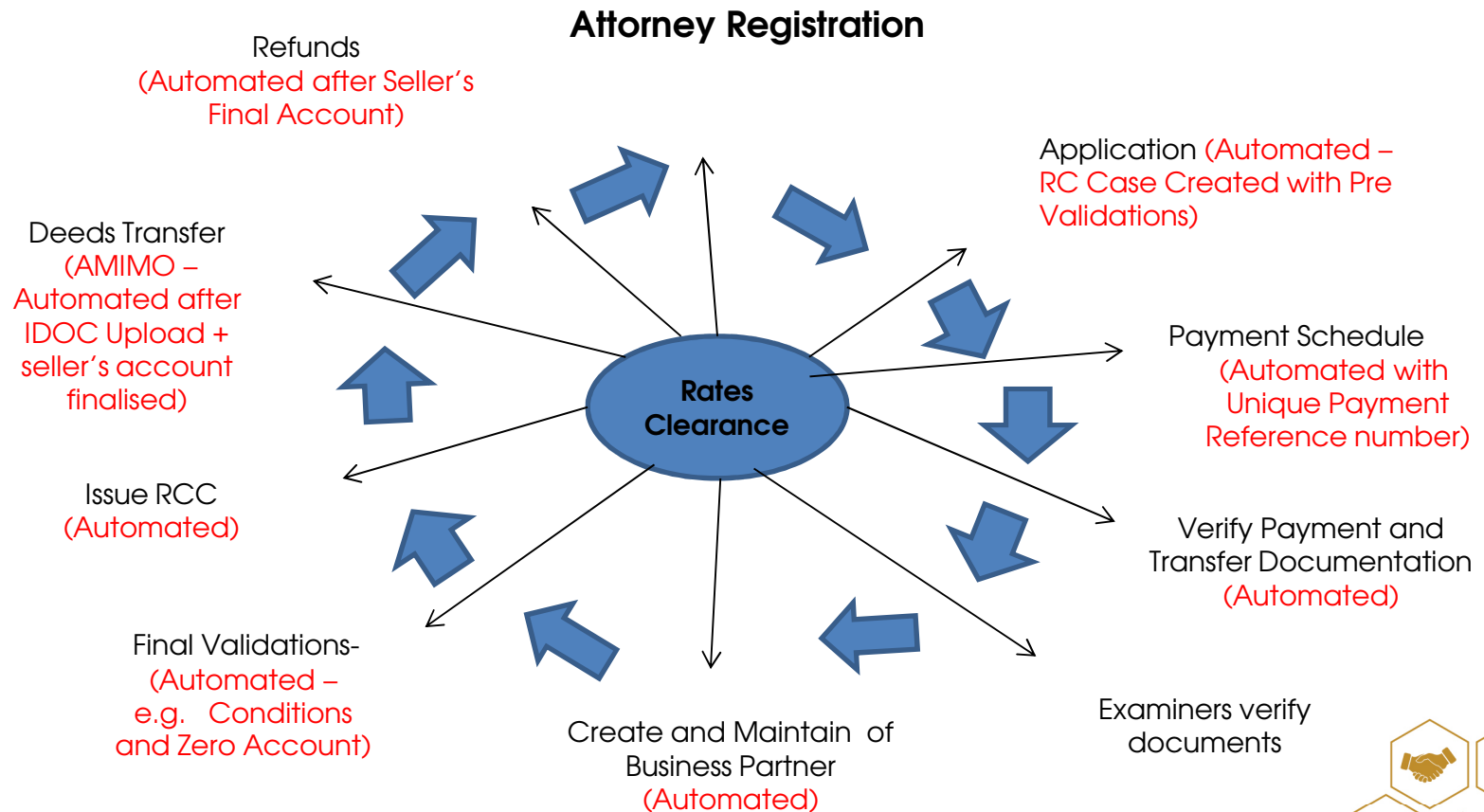


Transferring of a Property



New/Enhanced End To End Property Transfer Process

The enhanced Rates Clearance Process is designed to electronically record the submission of RCC applications electronically manage and process the applications up to and including the Refunds stage, should there be a credit on the finalised account of the seller



Agreement with Cape Property Law Society (CPLS)

The City of Cape Town has a Service Level Agreement with the Law Society to:

- **Issue Rates Clearance Certificates within 10 working days** after successful submission, provided that **the City has received the required payments and the correct documentation with the application for the rates clearance.**

The issuing of 95% of the Rates Clearances within 10 working days is currently being performance monitored on the Mayor's monthly Mayoral Dashboard as well as the scorecards of the Heads of Department and the Directorate.

The City of Cape Town Rates Clearance fees:

2015/2016 : R74.60 per electronic rates clearance certificate

2015/2016 : R310.50 per manual rates clearance certificate

2016/2017 : R80.00 per electronic rates clearance certificate

2016/2017 : R333.50 per manual rates clearance certificate



% of Rates Clearances within 10 days

Year	Month	Total	Day's Range Count				Percentage Count
			0-10	%	10+	%	
2015	July	5 467	5 268	96.36%	199	3.64%	100%
2015	August	4 847	4 733	97.65%	114	2.35%	100 %
2015	September	1 247	1 217	97.59%	30	2.41%	100 %
2015	October	3 655	3 655	100%	0	0%	100 %
2015	November	2 076	2 076	100%	0	0%	100 %
2015	December	1 644	1 644	100%	0	0%	100 %
2016	January	2 458	2 458	100%	0	0%	100%
2016	February	3 644	3 644	100%	0	0%	100 %
2016	March	1 940	1 940	100%	0	0%	100 %
2016	April	1 994	1 921	96.33%	73	3.67%	100 %
2016	May	2 170	2 153	99.21%	17	0.79%	100 %
2016	June	10 964	10 940	99.78%	24	0.22%	100 %

Average of 98.91% of RCC's issued within 10 days



% of Rates Clearances within 5 days

Year	Month	Total	Day's Range Count				Percentage Count
			0-5	%	6-9	%	
2015	July	5 467	4 853	88.77%	614	11.23%	100 %
2015	August	4 847	4 534	93.54%	313	6.46%	100 %
2015	September	1 247	1 178	94.47%	69	5.53%	100 %
2015	October	3 655	3 533	96.67%	122	3.33%	100 %
2015	November	2 076	1 904	91.71%	172	8.29%	100 %
2015	December	1 644	1 382	84.06%	262	15.94%	100 %
2016	January	2 458	2 273	92.47%	185	7.53%	100%
2016	February	3 644	3 520	96.59%	124	3.41%	100 %
2016	March	1 940	1 615	83.24%	325	16.76%	100 %
2016	April	1 994	1 811	90.82%	183	9.18%	100 %
2016	May	2 170	2 017	92.94%	153	7.06%	100 %
2016	June	10 964	10 855	99%	109	1%	100 %

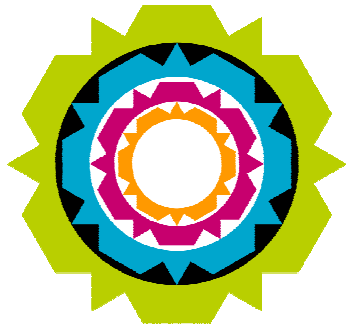
Average of 92% of RCC's issued within 5 days



Areas for Improvement

- **Ongoing enhancements** of the Automated Rates Clearance process/systems
- **To achieve a target of issuing 95% plus RCCs within 5 days**
- Moving/encouraging **transferring attorneys** (12% of applications are manual) **to move away from manual rates clearance process** to utilizing the automated/online rates clearance process (**88% of RCC applications are online**)
- The ultimate solution will be for the Deeds Office to be compatible with the electronic and automated platform of the City to ensure:
 - direct real time electronic interaction/communication which will not only reduce the turnaround time but will also,
 - reduce the risk of fraud and corruption and doing away of hardcopies of RCC's being lodged
- To continue the **ongoing discussions with the Cape Town Deeds Office to reduce their turnaround times of registering ownership of properties** from date lodged, until the City receives the registration notification (currently 14 days average)





**CITY OF CAPE TOWN
ISIXEKO SASEKAPA
STAD KAAPSTAD**

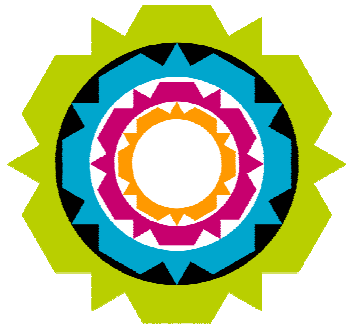
Automated Move In/Move Out (AMIMO) of Buyers and Sellers

Making progress possible. Together.

Key Changes & Benefits of Automated Move In/Move Out (AMIMO)

- Manage the downloaded electronic file on a daily basis from Deeds Office for transfers registered and captured
- Daily updating of ownership transfers on Land Use Management (LUM) as per the Deeds Office file
- Rates Clearance case status automatically updated to automatically trigger AMIMO
- Automated Move-in/Move-out solution (AMIMO)
 - Free Hold properties implemented as part of Phase 1
 - Sectional Title properties implemented as part of Phase 2
- Reduced turnaround times in billing of new registered owners within 2 weeks after receiving notification from Deeds Office
- By having the correct ownership / Business Partner (BP) details and that the devices are correctly linked will result in
 - New registered owners will receive their first invoices within 2 weeks of move in/move out process completed (depending on billing cycle), instead of 6 to 8 months
 - Sellers will receive final account much quicker (depending on billing cycle)
- Buyers will no longer need to complete application forms for services (electricity, water, refuse bin) as the new account/invoice will be generated electronically as part of the AMIMO process





CITY OF CAPE TOWN
ISIXEKO SASEKAPA
STAD KAAPSTAD

Refunds Automation

Making progress possible. **Together.**

Manual Refunds Process

- Application for Refunds of Final Accounts are currently applied for by account holders or their respective conveyancers by completing a Refund Request Form
- All required documentation needs to be submitted with a refund request

These applications can reach the City of Cape Town via:

- City's walk-in centres
- Call Centres
- The Customer Interactive Centres creates a workflow (C3 notification) for the Refunds Branch to process
- Refunds checks all applications manually
- Reasons for refund rejections are either sent to the creator or applicant via email



Goals And Objectives for Refunds

- Included the **refund automated process as the final component to RCAP and AMIMO Process**
- Automated key processes within the Refund Process
- Provides a functionality that can be integrated/adapted by other departments and users for other refund types within the City in the future.
- Process improvements thereby improving efficiency and reliability
- **Optimised and automated the Refunds back-office engine**
- Eliminated the need for property owners to apply for a refund if their accounts are in credit after finalisation of their accounts – **refunds to be paid to their attorneys**
- Introduction of **workflows and notifications** functionality
- **Improved customer services and reduced the number of refund applications that arise through the C3 workflow process**
- Reduced Refunds processing time (**no longer have to verify the documentation and ensuring the signatures of multiple owners of a property e.g. Trusts, Companies, Close Corporations, etc.)**
- Reduce or eliminate the potential for fraud within the Refund Process



Key Changes & Benefits for Refunds Automation

- **Automated refund of credits on sellers final accounts**
- Only the attorney or seller will be refunded (**consulting with Cape Property Law Society to only refund back to the attorneys**)
- Instruction to Process Refund (mandatory form) signed by both attorney and seller which include indemnity clause
- **Sellers will receive final accounts much quicker** (depending on billing cycle)
- **Refunds will also be paid quicker with the option of paying refund back to the Conveyancing attorney (online)**





Questions?

Thank you

